

REDO THE BOX

The ‘fill it, shut it, forget it’ approach needs a once-in-a-year audit. Your situation may change or the products may get better or worse. Once a year is often enough to clean your money box.

When I began constructing my own money box, it took me almost 6–8 months to get the cash flow banks in place. And then a few years later I had to redo parts of the system once again. Our financial lives are messy. Too many bank accounts, joint accounts with spouse, parents, kids. But once done, the work has still not finished. Stuff happens. You lose jobs, you change them, you move cities, kids get independent, you can lose a spouse or get a divorce, parents die – plenty of stuff can happen to your money box.

But the structure you create always gives you a framework to return to, once the tornado of life events passes by. In my case, my husband moved to a new job in a different city and we had to rework the bank accounts. Getting the cash flow system right is key to the whole money box working smoothly.

Of course, you need to use online banking to move money between accounts and into products to make this work smoothly. Setting up again the life, medical and emergency fund will take time; choosing and then setting up the SIPs will take time. But once all this legwork is done, you really have the luxury of knowing that your money is working to a plan and you don’t need to think every few months – now what to buy.